# 26SMCV00193 26SMCV00193

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TENTATIVE RULING

July 27, 2026

26SMCV00193 (Corby v. Mercedes-Benz USA, LLC, et al.)

RELEVANT BACKGROUND

On January 6, 2026, plaintiff Travis Corby (Plaintiff) filed his complaint against defendants Mercedes-Benz USA, LLC (MBUSA), Sonic Santa Monica M, Inc., d/b/a W.I. Simonson (Sonic), and Does 1-10. Plaintiff alleges three causes of action in connection with the 2023 EQE 350 leased vehicle (Subject Vehicle), alleging violations of the Song Beverly Act for breach express and implied warranties, as well as negligent repair.

INSTANT MOTION

On February 19, 2026, MBUSA filed the instant motion to compel arbitration and stay proceedings. Plaintiff filed an opposition, and MBUSA filed a reply.

REQUESTS FOR JUDICIAL NOTICE

MBUSA's request for judicial notice of various cases (Ex. 1-6) is granted.

Plaintiff’s request for judicial notice of various cases is (Ex. 1-3) is granted.

EVIDENTIARY OBJECTIONS

Plaintiff’s objections to the Ameripour declaration (Nos. 1-2) are overruled.

DISCUSSION

I. MOTION TO COMPEL ARBITRATION

Under both the FAA and California law, arbitration agreements are valid, irrevocable, and enforceable, except on such grounds that exist at law or equity for voiding a contract. (Winter v. Window Fashions Professions, Inc. (2008) 166 Cal.App.4th 943, 947.) A “written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract.” (Code Civ. Proc., § 1281.)

Code of Civil Procedure section 1281.2 authorizes the court to order arbitration of a controversy if it finds the parties have agreed to arbitrate that dispute. Section 1281.2 provides, “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party thereto refuses to arbitrate such controversy, the court shall order the petitioner and the respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] (a) The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for the revocation of the agreement. [¶] (c) A party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact…” (Code Civ. Proc., § 1281.2.)

A party petitioning to compel arbitration has the burden of establishing the existence of a valid agreement to arbitrate and the party opposing the petition has the burden of proving, by a preponderance of the evidence, any fact necessary to its defense. (Banner Entertainment, Inc. v. Superior Court (1998) 62 Cal.App.4th 348, 356-357.)

Here, MBUSA moves to compel arbitration on the basis that the parties entered into a California Motor Vehicle Lease Agreement (the Lease) that contains an arbitration provision requiring that any dispute arising out of or relating to the lease, the vehicle, or any resulting transaction or relationship, including those involving the vehicle's manufacturer, MBUSA, be resolved by binding arbitration governed by the Federal Arbitration Act (FAA).

For the reasons set forth in detail below, MBUSA's motion to compel arbitration is GRANTED and the action is STAYED pending arbitration.

A. Existence of an Arbitration Agreement

"Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate." (B.D. v. Blizzard Entertainment, Inc. (2022) 76 Cal.App.5th 931, 942.)

"The moving party bears the burden of producing prima facie evidence of a written agreement to arbitrate the controversy." (Gamboa v. Northeast Community Clinic (2021) 72 Cal.App.5th 158, 165-66.) "If the moving party meets its initial prima facie burden and the opposing party disputes the agreement, then in the second step, the opposing party bears the burden of producing evidence to challenge the authenticity of the agreement…If the opposing party meets its burden of producing evidence, then in the third step, the moving party must establish with admissible evidence a valid arbitration agreement between the parties. The burden of proving the agreement by a preponderance of the evidence remains with the moving party." (Ibid.)

“With
respect to the moving party’s burden to provide evidence of the existence of an agreement to arbitrate, it is generally sufficient for that party to present a copy of the contract to the court.” (Baker v. Italian Maple Holdings, LLC (2017) 13 Cal.App.5th 1152, 1160.)

Here, MBUSA has satisfied its burden as
the moving party to establish the existence of an arbitration agreement by providing a copy of the Lease with the arbitration agreement. (Newman Decl., Ex. B at p. 4-5; (Baker, 13 Cal.App.5th at p. 1160.) The arbitration agreement in the Lease provides:

Important Arbitration Disclosures

The following arbitration provisions significantly
affect your rights in any dispute with us. Please read the following disclosures and arbitration provision that follows carefully before you sign the contract….

Any claim or dispute, whether in
contract, tort or otherwise
(including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes Benz USA LLC (each a "Third Party Beneficiary"), which arises out of or relates to a credit
application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action….

This lease evidences a transaction involving
interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq.)…

(Id.
at p. 4 (emphasis added).)

The

Court notes that Plaintiff does not challenge the authenticity of the agreement.

A.
Standing
– Express Third Party Beneficiary

There are exceptions to the general rule that a nonsignatory to an agreement cannot be compelled to arbitrate and cannot invoke an agreement to arbitrate, without being a party to the arbitration agreement. (JSM Tuscany, LLC v. Superior Ct. (2011) 193 Cal.App.4th 1222, 1236-37.) A nonsignatory may compel arbitration as a third-party beneficiary to the arbitration agreement.¿(Ronay Family Ltd. Partnership v. Tweed (2013) 216 Cal.App.4th 830, 838;¿see also¿Civ. Code, § 1559¿(“A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.”).] To qualify, the third party must show that (1) it would in fact benefit from the contract; (2) a motivating purpose of the contracting parties was to provide such benefit; and (3) allowing enforcement is consistent with the contract’s objectives and the parties’ reasonable expectations. (Goonewardene v. ADP, LLC (2019) 6 Cal. 5th 817, 830–831.)

Here,
Plaintiff argues that MBUSA does not have standing to compel arbitration because it is not a signatory to the Lease. But the Court is not persuaded by Plaintiff’s argument regarding standing. MBUSA has standing to bring this motion because it is expressly designated as third-party beneficiary in the Lease. (Ronay, 216 Cal.App.4th at p. 838 [“A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescind it.”]; Ex. B at p. 4 [“including MercedesBenz USA LLC (each a "Third Party Bencficiary")”].)

Plaintiff
argues MBUSA cannot invoke the arbitration clause because MBUSA does not satisfy the elements to do so as a third-party beneficiary set forth in Goonewardene, citing Ford Motor Warranty Cases (2023) 89 Cal.App.5th 1324 and Ngo v. BMW of North America, LLC (9th Cir. 2022) 23 F.4th 942.

But
Ford Motor and Ngo are distinguishable because neither case dealt

with an arbitration clause that explicitly identified the third-party beneficiary. (See Ford Motor, 89 Cal.App.5th at p. 1329 [Ford was not a party to the sales contract and was not named in the sale contracts]; Ngo, 23 F.4th at p. 946 [manufacturer not listed as third-party beneficiary, as “the arbitration clause expressly states that only three parties—Ngo, the dealership, and the assignee—may compel arbitration.”].) In contrast, here the agreement unequivocally provides that MBUSA is a “Third Party Beneficiary” and provides that covered disputes shall be resolved by arbitration “at the election of either you, us, or a Third Party Beneficiary.” (Ex. B at p. 4 .)

Further, MBUSA has met all of the Goonewardene elements: (1) under the express terms of the agreement explicitly naming MBUSA as a “Third-Party Beneficiary” entitled to enforce arbitration, MBUSA would benefit by being given the option to arbitrate, (2) MBUSA’s express inclusion as a third-party beneficiary in the arbitration provision demonstrates that providing a benefit to MBUSA was a motivating purpose of the contracting parties; and (3) permitting MBUSA to enforce the arbitration agreement is consistent with the objections of the agreement (which gives MBUSA the option to elect to enforce the agreement) and the reasonable expectations of Plaintiff and the dealer based on the text of the agreement and Plaintiff’s consent.

In light of the above, the Court therefore need not and does not address whether MBUSA may compel arbitration under an equitable estoppel theory.

B. Delegation Clause

Parties may delegate questions regarding the validity of an arbitration agreement (such as enforceability in the face of a challenge based on unconscionability) or aspect of an arbitration agreement (such as whether a particular claim is subject to the arbitration agreement) to the arbitrator if they clearly and unmistakably agree to do so. (Rent-A-Center, W., Inc. v. Jackson (2010) 561 U.S. 63, 71–72; see also Tiri v. Lucky Chances, Inc. (2014) 226 Cal.App.4th 231, 240–241 [applying California Law [“Although Rent-A-Center was decided under the FAA, we agree with Lucky Chances that its holding applies under the CAA as well.”].) The delegation of such questions presupposes the existence of an agreement between the parties, which the court necessarily had to decide before it could enforce any such delegation.” (Garcia v. Stoneledge Furniture LLC (2024) 102 Cal.App.5th 41.)

The Court finds that a valid delegation clause exists. The arbitration clause clearly and unmistakably delegates threshold questions of arbitrability to the arbitrator, not the Court. (Rent-A-Center, 561 U.S. 63; Tiri, 226 Cal.App.4th at pp. 240–241; Ex. B at p. 4 [“Any claim or dispute…(including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue)…shall…be resolved by a neutral, binding arbitration and not by a court action.”].) The Court also notes that Plaintiff does not challenge the delegation clause in the Opposition.

C. Conclusion

In sum, the Court finds that a valid agreement to arbitrate the dispute exists, MBUSA has standing as a third-party beneficiary, and there is a valid delegation clause delegating threshold issue of arbitrability to the arbitrator, not the Court.

Accordingly, MBUSA’s motion to compel arbitration and stay proceedings is GRANTED. The Court sets a status conference regarding the arbitration for July 27, 2027, at 8:30 a.m.